Daiwa Capital Markets Hong Kong Limited

earnings

11 November 2026

MEMO

Merida Industry (9914 TT)

Share price (11 Nov): **TWD61.00** 12-mth rating: **Buy (1)** **Consumer Discretionary: Taiwan**

3Q26 results missed

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Summary: Merida posted its 3Q26 results on 11 November after market hours. Merida's gross margin came in at 15.2% (vs. 19.8% in 2Q26; 13.7% in 3Q25), lower than our estimate (16.2%) and the consensus (17.3%). Its 3Q26 EPS was TWD1.06, lower than our forecast (TWD1.68) and the consensus estimate (TWD1.65). Merida plans to hold an investor call on 17 November and we will provide an update then.

We have a Buy (1) rating with a 12-month TP of TWD96, based on a target PER of 17x applied on our 1-year-forward EPS forecast. For more information on this company, please refer to our latest flash note, *2Q26 review: mainly dragged by Specialized*, on 14 August.

What's the impact

- **3Q26 results missed.** Merida's 3Q26 revenue of TWD6,098m (-12.1% QoQ, -15.6% YoY) missed our and the Bloomberg consensus estimates by 13.6% and 11.1%, respectively, which we attributed to the discount when destocking the older models. Its gross margin came in at 15.2% (vs. 19.8% in 2Q26; 13.7% in 3Q25), lower than our estimate (16.2%) and the consensus (17.3%), due to less OBM sales and the price discounting for further inventory digestion. Its operating profit of TWD384m (-49.8% QoQ, -9.7% YoY) also missed our and the consensus estimates by 35.2% and 37.3%, respectively. Its operating margin came in at 6.3% (vs. 11.0% in 2Q26; 5.9% in 3Q25), missing our estimate of 8.4% and the consensus of 8.9%. Considering the equity investment loss of TWD150m+, its net profit of TWD176m (-44.8% QoQ, -71.9% YoY) missed our and the consensus by 65.0% and 65.6%. Its 3Q26 EPS was TWD1.06, lower than our forecast (TWD1.68) and the consensus estimate (TWD1.65).

Merida: 3Q26 results vs. Daiwa and the Bloomberg estimates

(TWDm)	Merida 3Q26 results	Daiwa forecast	Difference	Bloomberg consensus	Difference
Revenue	6,098	7,057	-13.6%	6,859	-11.1%
Gross profit	930	1,143	-18.7%	1,186	-21.6%
Operating profit	384	593	-35.2%	613	-37.3%
Profit before tax	234	658	-64.4%	737	-68.2%
Net profit	176	502	-65.0%	510	-65.6%
Basic EPS (TWD)	0.59	1.68	-65.0%	1.65	-64.5%
Margin					
Gross margin	15.2%	16.2%	-1pp	17.3%	-2pp
Operating margin	6.3%	8.4%	-2.1pp	8.9%	-2.6pp
Pre-tax margin	3.8%	9.3%	-5.5pp	10.7%	-6.9pp
Net margin	2.9%	7.1%	-4.2pp	7.4%	-4.6pp

Source: Company, Bloomberg, Daiwa forecasts

- **4Q26 outlook.** We forecast its 4Q26 revenue to decline QoQ as the company will continue to manage its existing models and expects new models in 2027 to bring stronger demand.

What we recommend

We have a Buy (1) rating with a 12-month TP of TWD96, based on a target PER of 17x applied on our 1-year-forward EPS forecast. The stock is currently trading at PERs of 13.3x/10.7x, based on our 2026/27E EPS, vs. its past-5-year one-year-forward PER trading range of 7-33x. Key downside risks: slower-than-expected e-bike penetration in the EU and the US, worse-than-expected demand in an inflationary environment and inventory digestion.

In the interests of timeliness, this document has not been edited.

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Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
Sell***	6.46%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 September 2026.
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